Retail Research	IPO Note
Sector: Metals - Recycling	Price Band (Rs): 220 – 232
22nd September 2025	Recommendation: SUBSCRIBE FOR LONG TERM

Jain Resource Recycling Ltd

Company Overview:

Jain Resource Recycling Ltd. (JRR) manufactures non-ferrous metal products by recycling non-ferrous metal scrap. The company's product portfolio comprises of **a) Lead & lead alloy ingots**, **b) Copper & copper ingots** and **c) Aluminium & aluminium alloys**. JRR operates 3 recycling facilities in Chennai, India and caters to customers in various industries such as lead acid battery, electrical and electronics, pigments and automotive.

Key Highlights:

1. **Strategically located recycling facilities:** JRR conducts its recycling operations at its 3 recycling facilities in India located at SIPCOT Industrial Estate, Chennai. These facilities are in proximity to the Chennai port and helps the company serve imports and exports from/to China and South-East Asian countries. Additionally, the strategic location of these facilities allows the company to benefit from utilizing various by-product of one facility as raw materials for another facility.

2. **Aiming for forward integration in the Copper segment**: The company aims to expand its product offerings by expanding into Copper Cathode, Wire Rod and Copper Busbar manufacturing. The feed stock for the copper cathodes shall be the finished products from the company's recycling facilities and hence, the copper cathode, copper wire rod and copper busbar project shall be a forward integration project for JRR. Since the only fuel required to convert copper anode into copper cathode is electricity, the company plans to operate the new project with an in-house rooftop solar power plant.

3. **Focus on achieving cost-efficiency through extraction of by-products:** JRR aims to adopt a holistic and integrated approach by leveraging the full potential of the by-products like Tin and Plastic, generated as a result of its lead and copper recycling operations. With a view to capitalize on the increasing lead market demand in India, JRR has commenced operations to extract tin and manufacture it into crude tin ingots and lead tin ingots. Additionally, as a part of its lead and copper recycling process, the company recovers plastic as a by-product in the form of PPCP chips and PVC granules from lead battery scrap and copper cables respectively. Similar to tin, the company has commenced recycling and manufacturing of PPVC granules and PVC granules from the recovered plastic. The production of tin ingots, PPVC granules and PVC granules is expected to increase JRR's profitability because of no additional requirement to incur raw material costs.

4. **Established hedging mechanism:** JRR's business is directly impacted by fluctuations in the prices of base metals traded on the London Metal Exchange (LME). For the purposes of safeguarding itself against this price volatility, the company utilizes hedging exclusively within the metals market by entering into futures derivative contracts on the LME. At the time of purchasing raw materials from suppliers, JRR hedges the final sale value of these materials by taking a short position in futures contracts on LME. Similarly, at the time of sale of physical metal, JRR takes a long position in the futures contracts. Further, the company's lead finished products are recognized by the LME, which provides them with global recognition and universal acceptance. This recognition allows JRR to sell its products to LME-registered warehouses, thereby effectively settling the derivative positions.

Valuation: JRR is a pioneer in the recycling and production of non-ferrous metals in India. It is amongst the two recycling companies in India to get its lead ingot registered as a brand by LME. It holds healthy market share in lead and copper Indian market of 8.6%/3.4% respectively despite the fragmented nature of the industry. The company has reported strong Revenue/EBITDA/PAT CAGR of ~53%/72%/56% respectively between FY22-25. At the upper price band of Rs 232, the company is valued at FY25 PE and EV/EBITDA of 35.7x and 22.2x respectively on post issue capital. We recommend investors to SUBSCRIBE to the issue at the cut-off price for long-term.

Issue Details	
Date of Opening	24th September 2025
Date of Closing	26th September 2025
Price Band (Rs)	220 – 232
Offer for sale (Rs cr)	750.0
Fresh Issue (Rs cr)	500.0
Issue Size (Rs cr)	1,250.0
No. of shares	5,38,79,310 @upper price band
Face Value (Rs)	2.0
Post Issue Market Cap (Rs cr)	7,618 – 8,006
BRLMs	DAM Capital Advisors Ltd, ICICI Securities Ltd, Motilal Oswal Investment Advisors Ltd, PL Capital Markets Pvt Ltd
Registrar	KFin Technologies Ltd
Bid Lot	64 shares and in multiple thereof
QIB shares	75%
Retail shares	10%
NII shares	15%

Objects of Issue	
Particulars	**Estimated utilization from net proceeds (Rs cr)**
Pre-payment or scheduled re-payment of a portion of certain outstanding borrowings availed by the company	375.0
General corporate purpose*	-
Net proceeds from the issue	**-**

To be determined upon finalization of the Offer Price and updated in the Prospectus prior to filing with the RoC. The amount to be utilized for general corporate purposes shall not exceed 25% of the Gross Proceeds.

Shareholding Pattern		
Pre-Issue	**No. of Shares**	**%**
Promoter & Promoter Group	28,47,58,425	88.0
Public & Others	3,87,75,665	12.0
Total	**32,35,34,090**	**100.0**

Post Issue @ Upper Price Band	No. of Shares	%
Promoter & Promoter Group	25,39,39,459	73.6
Public & Others	9,11,46,355	26.4
Total	**34,50,85,814**	**100.0**

Selling shareholders through OFS	Classification	Rs cr
Kamlesh Jain	Promoter	715.0
Mayank Pareek	Public	35.0
Total	-	**750.0**

Source: RHP, SSL Research

Key Financials

Particulars (Rs cr)	FY23	FY24	FY25
Revenue from operations	3,064.1	4,428.4	7,125.8
EBITDA	124.2	227.2	368.8
PAT	91.8	163.8	224.3
EBITDA Margin (%)	4.1	5.1	5.2
PAT Margin (%)	3.0	3.7	3.1
RoE (%)	46.1	44.4	30.9
RoCE (%)	16.5	21.0	23.7
P/E (x)*	81.7	45.8	33.5
EBITDA per ton (in Rs)	4,959.4	5,820.3	10,766.0
Number of Customers	317	342	371
Export revenue (%)	51.6	54.1	60.4

Note: Pre-issue P/E based on upper price band
Source: RHP, SSL Research

Risk Factors

- **Disciplinary actions against promoter:** In past, there have been 4 disciplinary actions taken against one of the company's promoters and penalties aggregating to an amount of Rs 6 lakhs were levied by SEBI. The same was duly paid and settled by the said promoter. Additionally, a show cause notice was issued against the promoter with allegations pertaining to insider trading violations. The matter is currently pending.
- **Order cancellations:** The company's products are manufactured based on detailed technical specifications and are subject to strict quality requirements. Any failure to meet these requirements, or non-compliance with applicable quality standards, may result in rejection of the goods supplied or cancellation of current and future orders. As of FY25, the company experienced 11 cancellations of customer orders (vs 30 in FY23).
- **Customer concentration:** The company does not enter into definitive agreements with its customers. As of FY25, the company's top 5 customers contributed ~44% to the total revenue. Thus, the loss of any of these customers may adversely affect the company's business.
- **Import risk:** The company depends on third-party suppliers for the supply of scraps required for operations and sources ~75%-80% of the total scrap requirement through imports. Majority of raw materials such as lead scrap and copper scrap are imported from the USA (11.9% of total imports), Malaysia (9.1%), Kuwait (3.9%), UK (2.7%) and UAE (11.8%); which aggregate to ~39% of the imports (as of FY25).

Growth Strategies

- Forward Integration into Copper Cathode and Wire Rod Manufacturing Business
- Exploring new recycling domains to better serve customers in domestic and international markets.
- Value creation through extraction of by-product such as tin and plastic to achieve cost efficiency.

Revenue Split – Segment wise

Segment*	FY23		FY24		FY25	
	Rs cr	% of TR	Rs cr	% of TR	Rs cr	% of TR
Copper & Copper Ingots	1,815	59.2%	1,928	43.5%	3,194	44.8%
Lead & Lead Alloy Ingots	1,070	34.9%	2,076	46.9%	2,812	39.5%
Precious Metals**	-	0.0%	-	0.0%	696	9.8%
Aluminium & Aluminium Alloys	35	1.2%	272	6.1%	273	3.8%
Others#	143	4.7%	152	3.4%	150	2.1%
Total Revenue (TR)	**3,064**	**100.0%**	**4,428**	**100.0%**	**7,126**	**100.0%**

**Revenue from the business segments identified above include revenue from sale of final products and scrap sales.*
*** The Refining Facility of JIGV (subsidiary) commenced its operations from Aug'24 for the refining of Precious metals including gold and its by product silver. However, the business operations at the Refining Facility have ceased to exist with effect from Apr'25.*
 # Includes trading of non-ferrous metals and other commodities, service income and other adjustments
Source: RHP, SSL Research

Revenue Split – Domestic vs Export

Particulars	FY23		FY24		FY25	
	Rs cr	% of TR	Rs cr	% of TR	Rs cr	% of TR
Revenue from Domestic operations	1,482	48.4%	2,032	45.9%	2,822	39.6%
Revenue from Exports*	1,582	51.6%	2,396	54.1%	4,303	60.4%
Total Revenue (TR)	**3,064**	**100.0%**	**4,428**	**100.0%**	**7,126**	**100.0%**

**Excludes export incentives and shipping line income*
Source: RHP, SSL Research

Market Position in Major Product Categories - 2024

Secondary Metal	Company's production (kT)	Overall demand in India (kT)	% share of the company
Lead	101	1,180	8.6%
Copper	22	645	3.4%
Aluminium	10	1,900	0.5%

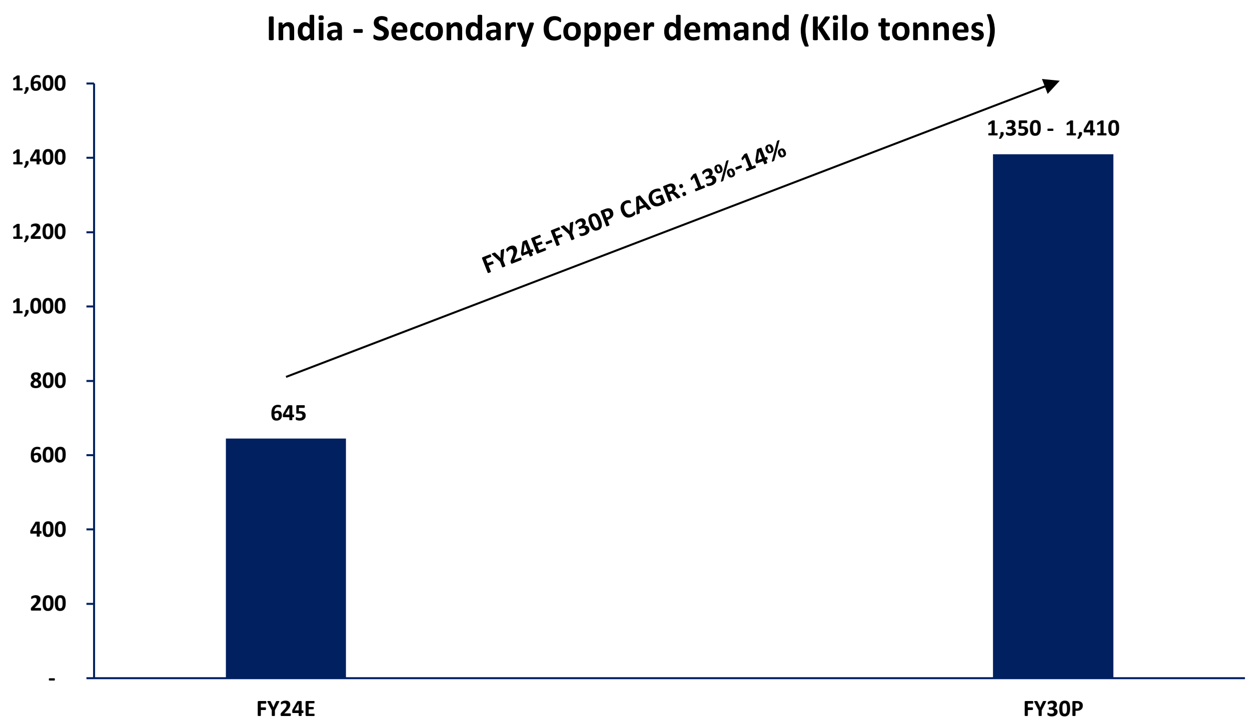
Source: RHP, SSL Research

Product Capacities - Peers

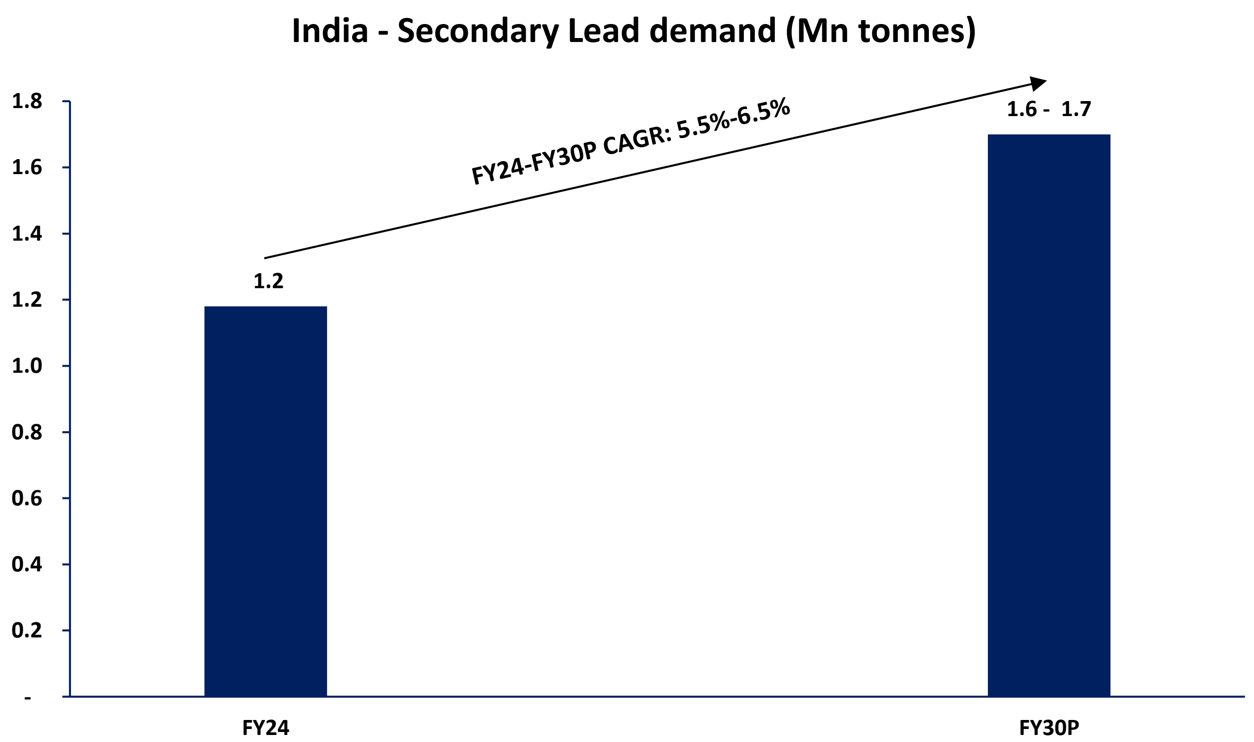
Company	Products Recycled	Capacity (MTPA)
Jain Resource Recycling Ltd	Lead	1,84,000
	Copper	1,17,005
	Aluminium	24,000
Gravita India Ltd*	Lead	2,36,559
	Aluminium	38,000
	Rubber	30,000
	Plastic	26,100
Pondy Oxides & Chemicals Ltd**	Lead	1,68,000
	Aluminium	12,000
	Plastic	9,000
	Copper	6,000

**Data as of FY25.*
***Data as of 1QFY26.*
Source: RHP, SSL Research

Industry Overview



Source: RHP, SSL Research



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
Particulars (Rs cr)	**FY23**	**FY24**	**FY25**
Revenue from Operations	**3,064**	**4,428**	**7,126**
YoY growth (%)	**-**	***44.5%***	***60.9%***
COGS (incl Stock Adj)	**2,788**	**4,009**	**6,531**
Gross Profit	**276**	**419**	**595**
Gross margins (%)	***9.0%***	***9.5%***	***8.3%***
Employee Cost	14	32	31
Other Operating Expenses	138	159	195
EBITDA	**124**	**227**	**369**
EBITDA margins (%)	***4.1%***	***5.1%***	***5.2%***
Other Income	43	56	36
Interest Exp.	30	53	85
Depreciation	14	16	16
PBT	**124**	**215**	**305**
Tax	32	51	81
Share of profit of associates and JVs	-	-	(0)
Minority Interest	(0)	-	(1)
PAT	**92**	**164**	**224**
PAT margin (%)	***3.0%***	***3.7%***	***3.1%***
EPS (Rs)	**2.8**	**5.1**	**6.9**

BALANCE SHEET			
Particulars (Rs cr)	**FY23**	**FY24**	**FY25**
Assets			
Net Block	58	65	72
Capital WIP	-	-	3
Right of use assets	16	15	17
Intangible Assets	-	0	0
Goodwill	-	-	0
Other Non current Assets	10	9	99
Current Assets			
Inventories	342	550	675
Current Investment	-	14	10
Trade receivables	254	183	129
Cash and Bank Balances	146	300	248
Short-term loans and advances	7	52	38
Other Current Assets	283	340	544
Total Current Assets	**1,032**	**1,440**	**1,645**
Current Liabilities & Provisions			
Trade payables	33	27	104
Other current liabilities	19	122	67
Short-term provisions	0	0	1
Total Current Liabilities	**52**	**149**	**171**
Net Current Assets	**980**	**1,291**	**1,474**
Total Assets	**1,064**	**1,379**	**1,665**
Liabilities			
Share Capital	40	41	65
Reserves and Surplus	159	328	661
Total Shareholders Funds	**199**	**369**	**726**
Minority Interest	2	-	(1)
Total Debt	733	909	920
Long Term Provisions	1	2	3
Lease Liabilities	6	5	8
Other Long Term Liabilities	119	93	0
Net Deferred Tax Liability	4	2	8
Total Liabilities	**1,064**	**1,379**	**1,665**

Cash Flow Statement (Rs cr)	FY23	FY24	FY25
Cash flow from Operating Activities	11	33	4
Cash flow from Investing Activities	(9)	(93)	(26)
Cash flow from Financing Activities	3	136	(35)
Free Cash Flow	(11)	8	(30)

RATIOS			
Particulars	**FY23**	**FY24**	**FY25**
Profitability			
Return on Capital Employed	16.5%	21.0%	23.7%
Return on Equity	46.1%	44.4%	30.9%
Margin Analysis			
Gross Margin	9.0%	9.5%	8.3%
EBITDA Margin	4.1%	5.1%	5.2%
Net Profit Margin	3.0%	3.7%	3.1%
Short-Term Liquidity			
Current Ratio (x)	1.4	1.4	1.5
Quick Ratio (x)	0.9	0.9	0.9
Avg. Days Sales Outstanding	30	15	7
Avg. Days Inventory Outstanding	45	50	38
Avg. Days Payables	4	2	6
Fixed asset turnover (x)	52.4	68.4	99.5
Debt-service coverage (x)	0.2	0.3	0.4
Long-Term Solvency			
Total Debt / Equity (x)	3.7	2.5	1.3
Interest Coverage Ratio (x)	5.1	5.0	4.6
Valuation Ratios*			
EV/EBITDA (x)	65.2	35.7	22.2
P/E (x)	81.7	45.8	33.5
P/B (x)	37.7	20.3	10.3
EV/Sales (x)	2.6	1.8	1.1
P/Sales (x)	2.4	1.7	1.1

Valuation ratios are based on pre-issue capital at the upper price band

Source: RHP, SSL Research

Peer Comparison – FY25

Particulars (Rs cr)	Jain Resource Recycling Ltd	Gravita India Ltd	Pondy Oxides & Chemicals Ltd
CMP (Rs)	232.0	1,662.1	1,325.9
Sales	7,125.8	3,868.8	2,056.9
EBITDA	368.8	324.1	104.9
Net Profit	224.3	312.4	58.1
Mkt Cap.	8,006	12,267	3,989
Enterprise Value	8,177.6	12,142.3	4,052.1
EBITDA Margin (%)	5.2	8.4	5.1
Net Profit Margin (%)	3.1	8.1	2.8
RoE (%)	18.3	15.1	9.7
RoCE (%)	18.2	12.5	12.6
P/E (x)	35.7	39.3	68.7
EV/EBITDA (x)	22.2	37.5	38.6
EV/Sales (x)	1.1	3.1	2.0

For Jain Resource Recycling Limited, the Market Cap, P/E(x), EV/EBITDA (x), EV/Sales (x) are calculated on post-issue equity share capital based on the upper price band.

CMP for peer companies is closing price as on 19th September, 2025

Source: RHP, Exchange Filings, SSL Research

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